

14 Choosing an investment strategy

4 primary questions | Oldest to newest

2026 objectives: 4.4.1

12 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 September 2009 Q1	4 marks
CA1-P2 April 2011 Q3	16 marks
CA1-P2 September 2015 Q5	15 marks
CP1-P2 September 2019 Q2	60 marks

CA1-P2 | September 2009 | Q1

[Current topic](#) | [4 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1** List reasons why an investor's preferences may change over time. [4]

CA1-P2 | April 2011 | Q3

Current topic | 16 marks total | Original PDF p2

Related: Ch 15.

- 3** Describe, for each of the following investors, the characteristics of the investor's financial commitments or other objectives that would influence the type of assets they should hold (you do not need to consider the suitability of specific investments):
- (a) A childless middle-income couple both under age 30 who are saving for an extended round-the-world holiday.
 - (b) An unemployed single parent who has just received a moderate lottery win in the form of a cash sum equal to six times his annual income. His annual income consists wholly of state benefits.
 - (c) A 35 year old high net worth financial trader with a substantial income who is considering what to do with her annual bonus, which is equal to 40 times national average earnings.
 - (d) An investment fund, targeted at wealthy individuals, that aims to generate significant returns from investing in commodities. The fund guarantees that the value of any individual's holding will be not less than 25% of the gross amount they have invested.

[16]

CA1-P2 | September 2015 | Q5

Current topic | 15 marks total | Original PDF p4

Related: Ch 13.

- 5** Three domestic investment opportunities are being advertised with the following prospective total returns, if held for the next two years:

Investment A

A fixed guaranteed return of 3% p.a. with an estimated probability of 99% or a total loss with an estimated probability of 1%.

Investment B

Estimated returns of:

- 1% p.a. with an estimated probability of 10%
- 2% p.a. with an estimated probability of 20%
- 3% p.a. with an estimated probability of 30%
- 4% p.a. with an estimated probability of 25%
- 5% p.a. with an estimated probability of 15%

Investment C

A fixed guaranteed return of 50(fifty)% p.a. with 100% certainty.

Government two year bonds are currently providing an estimated prospective total return of 2% p.a.

- (i) Calculate the expected cash amounts at the end of the two year period if \$100 is invested in each of the three investments. [4]
 - (ii) Suggest, with reasons, assets that could back each of the investments. [8]
 - (iii) Outline the type of individual for which each investment could be suitable. [3]
- [Total 15]

CP1-P2 | September 2019 | Q2

Current topic | 60 marks total | Original PDF p4

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 26, Ch 16, Ch 1, Ch 17.

2 Background

LifeCo insurance company sells only immediate whole single life annuities and has total liabilities of £13bn. Currently LifeCo has £15bn of assets invested mainly in corporate bonds.

LifeCo is seeking to improve the risk adjusted investment returns from its assets by investing in long-term illiquid assets. Currently LifeCo directly manages all of its assets. LifeCo has proposed to invest up to £1bn in commercial mortgage loans. Under a commercial mortgage loan money is lent to a special purpose company that owns one or more properties that provides collateral for the loan. The income after expenses produced by the one or more properties of the special purpose company funds the loan payments. Three examples of potential commercial mortgage loans are set out below:

- (a) **Commercial mortgage loan:** £60m loan, ten-year term, coupon rate 5% p.a.; with the principal repayable as a lump sum at the end of the term.
Property: Large office located near a small town. The property is leased to Company R. It is currently valued at £80m with a current yield of 6% p.a. When the property was constructed it won a number of awards for its design and architecture.
Lease: 14-year fixed lease to Company R with AA credit rating. There are no break clauses in the lease, the company is required to pay rent for the whole term of the lease. Company R is responsible for all taxes, repairs, maintenance and insurances in respect of the property.
Other information: Company R has three offices in total, each in different locations. Company R has experienced challenges in recruiting and retaining employees at this office. Average salaries are significantly higher at this office compared with its other offices.
- (b) **Commercial mortgage loan:** 40% share of £100m loan, ten-year term, coupon rate 5% p.a.; with the principal repayable as a lump sum at the end of the term.
Property: Large office located centrally in a major city is leased to Company S. It is currently valued at £200m with an annual yield of 5% p.a.
Lease: 12-year lease has upwards only rent reviews which occur every four years. Company S has a BBB credit rating. There are no break clauses in the lease, the company is required to pay rent for the whole term of the lease. Company S is responsible for all taxes, repairs, maintenance and insurances in respect of the property.
Other information: This office is Company S's headquarters. The special purpose company owning the property has been set up with an initial £15m cash balance. The owner of the special purpose company is restricted from withdrawing any money that would reduce the cash balance below £20m.

CP1-P2 | September 2019 | Q2 - continued

Current topic | 60 marks total | Original PDF p5

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 26, Ch 16, Ch 1, Ch 17.

- (c) **Commercial mortgage loan:** £40m loan, 15-year term, coupon rate 7% p.a. with the principal repayable during the term which, together with the coupons, gives rise to level payments throughout the term.
- Property:** A site with three large distribution warehouses located adjacent to a rail freight station and a key intersection for several major roads. The site is currently valued at £100m with a current annual yield of 9% p.a. The warehouses are leased separately to Companies T, V and W.
- Lease:** All three companies have 15-year fixed leases. There are no break clauses in the leases, the companies are required to pay rent for the whole term of their leases. The companies are responsible for all taxes, repairs, maintenance and insurances in respect of their individual warehouse. Company T has a credit rating of A, Company V has a credit rating of BBB and Company W has a credit rating of BB.
- Other information:** As part of the project to evaluate the proposition to invest into commercial mortgage loans, LifeCo will analyse whether to directly manage the investments or to contract a third-party investment manager.

Questions

- (i) Outline the project stages to evaluate the proposal to invest in commercial mortgage loans. [5]
- (ii) Identify the risks for commercial mortgage loans in general. [15]
- (iii) Identify the stakeholders or other professionals that would need to be involved in reviewing the risks identified in part (ii), indicating the relevance of each. [7]
- (iv) Discuss the skills and experience required to invest in commercial mortgage loans, taking into account the stakeholders and other professionals in part (iii). [11]
- (v) Discuss the relative merits to LifeCo of using a third-party investment manager, compared to managing the investments directly. [6]
- (vi) Assess the suitability of each of the three example commercial mortgage loans for inclusion in an investment portfolio to back LifeCo's annuity liabilities. [16]
- [Total 60]